

Principles of Taxation

Course: ATD — Accounting Technicians Diploma

Level: Level II

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Syllabus version: Based on the standard KASNEB ATD Level II Principles of Taxation syllabus topics — introduction to the Kenyan tax system, income tax basics, VAT basics, and tax administration. Authored from general taxation knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. **Tax rates, bands and thresholds change from time to time — always verify current rates with KRA/the Finance Act in force before using them in practice or relying on them for an actual return.** Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

Original work notice. Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original, and use illustrative rates for teaching purposes only.

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1. What is a tax, and why do governments levy them?

A **tax** is a compulsory financial charge imposed by a government on individuals or entities, without a direct, specific benefit given in return, used to fund public services and government operations (infrastructure, security, healthcare, education). Taxes are also used as policy tools — for example, to discourage consumption of certain goods, or to redistribute income through progressive tax structures.

2. Classification of taxes

- **Direct taxes** — levied directly on income or wealth of the person/entity bearing the tax (e.g. income tax); the burden cannot easily be shifted to someone else.
 - **Indirect taxes** — levied on goods and services, ultimately borne by the final consumer even though collected by an intermediary (e.g. VAT, excise duty); the burden can be shifted along the supply chain.
 - **Progressive tax** — the rate of tax increases as income increases (higher earners pay a higher percentage).
 - **Proportional (flat) tax** — the same percentage rate applies regardless of income level.
 - **Regressive tax** — takes a larger percentage of income from lower-income earners than higher-income earners (often a criticism levelled at certain indirect taxes on necessities).
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3. Kenya's tax administration — KRA

The **Kenya Revenue Authority (KRA)** is the government body responsible for assessing, collecting and accounting for tax revenue in Kenya, and for administering tax laws generally. KRA's functions include registering taxpayers (issuing a Personal Identification Number, PIN), processing tax returns, conducting assessments and audits, and enforcing compliance, including penalties for non-compliance.

4. Income tax, basics — chargeable income

Income tax is charged on income accruing in or derived from Kenya (with additional rules for residents' worldwide income in certain cases). Chargeable income for an individual typically includes: employment income, business income, rental income, and investment income (subject to specific rules for each category — some income types are taxed under distinct, separate regimes rather than combined into one single computation).

Chargeable (taxable) income is generally computed as: Gross income – Allowable deductions/reliefs = Chargeable income, to which the applicable tax rate(s) are then applied.

5. Pay As You Earn (PAYE), the concept

PAYE is the system under which an employer deducts income tax from an employee's salary/wages at source, and remits it directly to KRA on the employee's behalf, spreading the employee's tax liability evenly across their pay periods rather than requiring one large payment at year-end. PAYE typically operates on graduated (progressive) tax bands — different portions of income are taxed at increasing rates as income rises — after allowing for permitted reliefs (e.g. a personal relief) that reduce the final tax payable.

Illustrative graduated bands used for teaching purposes in this document (not to be relied on for an actual computation — always confirm current bands with KRA):

Monthly taxable pay (KSh)	Illustrative rate
First 24,000	10%
Next 8,333 (24,001–32,333)	25%
Above 32,333	30%

6. Value Added Tax (VAT), basics

VAT is an indirect tax charged on the supply of taxable goods and services at each stage of production and distribution, ultimately borne by the final consumer. A VAT-registered business charges **output VAT** on its sales and can generally reclaim **input VAT** paid on its own taxable purchases — remitting to KRA only the net difference (output VAT – input VAT) for the period. Some supplies are **zero-rated** (taxed at 0%, with input VAT still reclaimable) while others are **exempt** (no VAT charged, and input VAT on related purchases generally cannot be reclaimed) — the distinction matters for how a business accounts for VAT on its related costs.

7. Tax returns, assessments and compliance

Taxpayers are generally required to file periodic **tax returns** (e.g. annual income tax returns, monthly VAT/PAYE returns) declaring their income/transactions and computing the tax due. KRA may conduct an **assessment** — reviewing a taxpayer's affairs and determining the tax

actually payable, which may differ from what the taxpayer originally declared if errors or omissions are found. Timely, accurate filing and payment is important both to avoid penalties and to maintain good compliance standing (relevant, for instance, to qualifying for certain business licenses or tenders that require tax compliance certificates).

8. Tax offences and penalties, basics

Common tax offences include: late filing of returns, late payment of tax due, under-declaration of income, and failure to register for tax where required. Consequences typically include financial **penalties** (often calculated as a percentage of the tax involved, or a fixed amount) and **interest** on unpaid tax accruing over the period of default — with more serious or deliberate offences (e.g. tax evasion) potentially attracting more severe legal consequences beyond financial penalties alone.

9. Full worked question — illustrative PAYE-style computation

Scenario. An employee earns a gross monthly salary of KSh 50,000, with no other allowances or deductions besides tax. Using the illustrative bands in Section 5 above (for teaching purposes only).

Required: Compute the employee's tax liability before any personal relief, using the illustrative bands provided.

Solution:

- First 24,000 at 10% = 2,400
- Next 8,333 (24,001 to 32,333) at 25% = 2,083.25
- Remaining (50,000 – 32,333 = 17,667) at 30% = 5,300.10

Total tax before relief = 2,400 + 2,083.25 + 5,300.10 = KSh 9,783.35 (illustrative figure only — actual liability would then be reduced by any personal relief and other permitted reliefs applicable under current law).

10. Practice examination — KASNEB-style paper (original, not a past paper)

Note on format. This section is laid out the way a KASNEB ATD examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document, using illustrative

rates for teaching purposes. **It is not a reproduction of any actual KASNEB past examination paper**, and illustrative rates used here should not be relied upon for real tax computations.

ATD LEVEL II — PRINCIPLES OF TAXATION (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Define "tax" and outline TWO reasons governments levy taxes. (8 marks)
 - (b) Distinguish between a direct tax and an indirect tax, giving one example of each. (8 marks)
 - (c) Distinguish between a progressive tax and a regressive tax. (4 marks)
- (Total: 20 marks)
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QUESTION TWO

- (a) Outline THREE functions of the Kenya Revenue Authority. (9 marks)
 - (b) Explain what is meant by "chargeable income," and outline THREE categories of income for an individual taxpayer. (11 marks)
- (Total: 20 marks)
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QUESTION THREE

Using the illustrative bands provided in the study notes (10% on the first KSh 24,000; 25% on the next KSh 8,333; 30% thereafter), an employee earns a gross monthly salary of KSh 40,000.

Required:

- (a) Compute the employee's monthly tax liability before any relief, using the illustrative bands. (12 marks)
 - (b) Explain the purpose of the PAYE system from the perspective of both the employee and KRA. (8 marks)
- (Total: 20 marks)
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QUESTION FOUR

(a) Explain how VAT is charged and accounted for by a VAT-registered business, including the terms "output VAT" and "input VAT." (12 marks)

(b) Distinguish between a "zero-rated" supply and an "exempt" supply for VAT purposes. (8 marks)

(Total: 20 marks)

QUESTION FIVE

(a) Outline the purpose of filing tax returns, and explain what a tax "assessment" is. (10 marks)

(b) Outline THREE common tax offences and the typical consequences of non-compliance. (10 marks)

(Total: 20 marks)

11. Marking guide — model answers to the practice examination

QUESTION ONE

(a) (8 marks) — Tax is a compulsory financial charge imposed by government without a direct specific benefit in return; reasons: to fund public services/government operations; as a policy tool (e.g. discouraging certain consumption, redistributing income) — any two, 3 marks each plus 2 for the definition.

(b) (8 marks) — Direct tax: levied directly on income/wealth, burden not easily shifted (e.g. income tax). Indirect tax: levied on goods/services, burden ultimately borne by the final consumer though collected by an intermediary (e.g. VAT).

(c) (4 marks) — Progressive: rate increases as income increases. Regressive: takes a larger percentage of income from lower earners than higher earners.

QUESTION TWO

(a) (9 marks — 3 marks each) — Registering taxpayers/issuing PINs; processing tax returns; conducting assessments/audits and enforcing compliance (any three).

(b) (11 marks) — Chargeable income = Gross income – Allowable deductions/reliefs, to which tax rates are then applied (5 marks); categories: employment income, business income, rental income (investment income also acceptable) — 2 marks each for three named categories.

QUESTION THREE

(a) (12 marks) — First 24,000 at 10% = 2,400; Next 8,333 at 25%: since 40,000 – 24,000 = 16,000 exceeds the 8,333 band, the full band applies = 2,083.25; Remaining (40,000 – 32,333

= 7,667) at 30% = 2,300.10. **Total = 2,400 + 2,083.25 + 2,300.10 = KSh 6,783.35**
(before relief).

(b) (8 marks) — For the employee: spreads tax liability evenly across pay periods rather than one large year-end payment. For KRA: ensures tax is collected at source, improving compliance and cash-flow of tax revenue collection.

QUESTION FOUR

(a) (12 marks) — A VAT-registered business charges output VAT on its taxable sales and can reclaim input VAT paid on its own taxable purchases, remitting to KRA the net difference (output VAT – input VAT) for the period.

(b) (8 marks) — A zero-rated supply is taxed at 0%, with input VAT on related purchases still reclaimable. An exempt supply has no VAT charged, and input VAT on related purchases generally cannot be reclaimed.

QUESTION FIVE

(a) (10 marks) — Tax returns allow taxpayers to declare income/transactions and compute tax due, supporting compliance and revenue collection; an assessment is KRA's review and determination of the tax actually payable, which may differ from what was originally declared if errors/omissions are found.

(b) (10 marks — up to 3–4 marks each) — Late filing of returns; late payment of tax due; under-declaration of income (or failure to register); consequences: financial penalties and interest on unpaid tax, with more serious cases attracting further legal consequences.

12. Exam technique and revision checklist

- Always state clearly that illustrative tax rates/bands used in study material must be verified against the current Finance Act/KRA guidance before real-world use — examiners expect awareness that rates change, not memorised outdated figures presented as permanently fixed.
- Graduated-band computations: work through each band in order, and only apply the remaining rate to the portion of income still uncovered by lower bands — a common error is applying the top rate to the entire income.
- Direct vs indirect tax: the key distinguishing test is whether the burden can be shifted to someone else (indirect) or not (direct).
- VAT questions: always define output VAT and input VAT clearly, and know the zero-rated vs exempt distinction precisely — a very commonly tested point.
- Compliance questions: pair each named offence with its typical consequence (penalty/interest) rather than listing offences alone.

Quick revision — one line per topic:

1. Tax = compulsory charge, no direct specific benefit in return, funds public services and policy goals.
 2. Direct tax (on income/wealth, burden not shifted) vs indirect tax (on goods/services, burden shifted to consumer).
 3. Progressive (rate rises with income) vs proportional (flat rate) vs regressive (falls harder on lower earners).
 4. KRA: registers taxpayers, processes returns, conducts assessments, enforces compliance.
 5. Chargeable income = Gross income – allowable deductions/reliefs.
 6. PAYE: employer deducts tax at source and remits to KRA on graduated bands.
 7. VAT: output VAT – input VAT = net VAT remitted; zero-rated (0%, input reclaimable) vs exempt (no VAT, input generally not reclaimable).
 8. Tax offences: late filing/payment, under-declaration, failure to register — attract penalties and interest.
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End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus, examiner's reports, and up-to-date KRA/Finance Act rates for the paper.